THE ONTARIO EMPLOYEE ONBOARDING & PAYROLL COMPLIANCE FRAMEWORK

The First-Hire Playbook for Scaling Tech Founders and Growing Agencies in Ontario.

SECTION 1: THE STATUTORY TD1 INTAKE

FEDERAL — TD1

Every new hire must complete the Federal TD1 form before their first pay run. It sets the basic personal tax credit amount and any additional claims (dependents, tuition) used to calculate federal tax withholding.

PROVINCIAL — TD1-ON

Ontario requires the companion TD1-ON form. If a new hire skips either form, you're required by default to withhold at the highest tax bracket — which quietly damages employee trust in your first week as an employer.

SECTION 2: THE PAYROLL DEDUCTION FORMULA

WHAT YOU ACTUALLY REMIT — PER EMPLOYEE, PER PAY RUN

CPP is a matched contribution — you remit exactly what your employee contributes.

EI is not matched evenly. As the employer, you owe more than your employee does.

EMPLOYER EI = EMPLOYEE EI × 1.4

Most founders budget payroll off gross wages alone — and miss this multiplier entirely.

SECTION 3: MANDATORY WSIB REGISTRATION

ONTARIO WORKPLACE SAFETY & INSURANCE BOARD

If you have even one employee in Ontario — full-time, part-time, or family — in most industries you are legally required to register with the WSIB within 10 days of hiring. Premiums are calculated against your insurable payroll and vary by industry classification. Operating without registration exposes the business owner personally, not just the corporation, to penalties.

THE CRA CLASSIFICATION TEST: EMPLOYEE OR CONTRACTOR?

EMPLOYEE	CONTRACTOR
CONTROL	
You set their hours, direct how the work gets done, and require exclusivity.	They set their own hours, choose their own methods, and can work for other clients simultaneously.
TOOLS & EQUIPMENT	
You provide the laptop, software licenses, and workspace.	They supply and maintain their own equipment and tools at their own cost.
FINANCIAL RISK	
They're paid a fixed wage regardless of outcome — no risk of loss.	They invoice for deliverables and carry real risk of loss if the work goes over budget or is rejected.

THE REMOTE DIASPORA ADVANTAGE

STRUCTURE THE RELATIONSHIP CORRECTLY

Engineering or support talent based in Lagos or Abuja can be paid legally as independent contractors — provided the relationship genuinely reflects contractor status (their own hours, their own tools, invoice-based payment) rather than disguised employment.

KEEP SOURCE DEDUCTIONS OUT OF SCOPE

Because the work is performed entirely outside Canada by a non-resident, properly structured contractor payments generally fall outside Canadian payroll source deductions (CPP, EI, income tax withholding) — but only when the paperwork (contractor agreement, invoices, proof of non-residency) is airtight.

DON'T LET GOOD INTENTIONS CREATE RISK

The most common mistake we see: a founder pays a "contractor" like an employee — fixed monthly salary, set hours, company email — and unknowingly creates a misclassification exposure the CRA can reassess years later.

THE AUTOMATED PAYROLL & COMPLIANCE STACK

One connected system that replaces four disconnected spreadsheets and a shoebox of receipts.

1

NEW HIRE INTAKE

TD1 & TD1-ON forms collected digitally.

2

QBO PAYROLL

Deductions, remittances, and pay stubs run automatically.

3

DEXT

Every payroll-related receipt and document scanned and matched.

4

CLOUD SYNC & RECORDS

A CRA-ready, audit-proof paper trail — always available, never in a shoebox.

IS YOUR PAYROLL AN UNINTENTIONAL LIABILITY?

Misclassified contractors, missed WSIB registration, and incorrect EI remittances are some of the most common — and costly — mistakes we find in founder-run payrolls.

Book a Free 15-Minute Payroll Compliance Audit. We'll review your current hire and payroll setup and flag any compliance gaps before the CRA does — free.

SCHEDULE YOUR PAYROLL AUDIT

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